

Ctrl Alt Solutions DMCC - Virtual Asset Standards & VA Listing Policy

1. Virtual Assets Standards

This policy establishes the standards by which Ctrl Alt Solutions DMCC (Ctrl Alt) assesses, approves, lists, monitors, and discloses the Virtual Assets (VAs) involved in its Virtual Asset Activities and to particularly ensure that the provision of Virtual Assets meet the regulatory and operational expectations set forth by the Virtual Asset Regulatory Authority (VARA).

Ctrl Alt takes all reasonable steps as outlined in this Policy, including comprehensive assessment and due diligence to ensure compliance of all Virtual Assets supported by Ctrl Alt during the course of its Virtual Asset Service Provider ("VASP") activities. Records of all assessments conducted by Ctrl Alt shall be maintained for a period of eight (8) years and provided to VARA upon request.

Virtual Asset Assessment Considerations.

Risk Management: Ctrl Alt will evaluate the VAs and their associated projects to ensure they align with its standards for risk management. This assessment helps to ensure the VA's long-term viability and stability and evaluate the potential for price manipulation and relevant mitigations will be implemented where necessary. This includes examining the VA's susceptibility to market manipulation and ensuring that proper controls are in place to protect the integrity of the market. Ctrl Alt will also consider the background of the VA's issuer, examining any past involvement in fraud or deceit.

Operational Considerations: Ctrl Alt will assess the operational aspects of any VA and the project with respect to the liquidity in the token, the amount of supply in circulation and the mechanisms to add and remove circulation where applicable to ensure the VA project has operational controls to manage the issuance. Each VA and their project will be governed by their own issuer which will outline the legal rights of the VA issued.

Compliance with Applicable Laws and Regulations: Ctrl Alt will conduct a comprehensive evaluation of each VA's project legal and regulatory treatment. This will include due diligence to confirm compliance with applicable laws and regulations, including those set by VARA and other relevant authorities (both within and outside the Emirate of Dubai). The evaluation will determine if the VA project has received regulatory approvals from any applicable authority and whether it is prohibited in any jurisdictions where Ctrl Alt operates. Special consideration will be given to whether the VA's features might materially affect compliance with laws such as AML/CFT, sanctions, securities, or intellectual property regulations.

Governance: Ctrl Alt will assess the governance structure of each VA and its issuer to ensure it meets high standards of transparency, accountability, and good governance. This assessment will examine governance policies, procedures, and guidelines to assess their alignment with

industry best practices. The assessment will also focus on the mechanisms in place to address conflicts of interest, ensuring that any governance issues are identified and mitigated.

Technology considerations: Ctrl Alt will undertake a comprehensive assessment to ensure the VA is reliable, resilient, secure, and capable of performing its intended functions. This assessment includes conducting due diligence on the underlying technical infrastructure and protocols supporting the VA. Factors such as system reliability, scalability, data integrity, and network security will be assessed to determine the robustness of the underlying Distributed Ledger Technology (DLT) protocol. Ctrl Alt will also evaluate the VA's compatibility with industry standards and best practices, ensuring ongoing compliance and performance.

Market Capitalisation & Liquidity: Ctrl Alt will assess whether a VA has a sufficiently large market capitalisation and whether the VA has adequate liquidity to make it suitable for customers.

Development Roadmap: Ctrl Alt will work to understand how the VA will evolve, its scaling potential and technological improvements. This work will also address any potential barriers to scalability, ensuring the VA can grow in line with market demands without compromising its security or functionality.

Correlation with physical market terms: Many VAs are designed to mirror or represent tangible assets, such as real estate or commodities. Ctrl Alt will determine how the VAs correlate with the value and terms of the physical asset. There will be clear documentation and transparency on how the VAs interact with the physical asset, ensuring that customers understand how (where relevant) value is derived, stored and transferred between the VA and the physical asset.

Ongoing Due Diligence Assessments

All Virtual Assets are subject to a rigorous due diligence process before being offered through our platform. This includes legal, operational, and security reviews. Ctrl Alt will continuously monitor each VA during the period it is supported, with regular reviews to ensure compliance with Ctrl Alt's VA Standards.

For full details regarding the pricing, order routing and settlement processes, please refer to the Ctrl Alt Solutions DMCC Broker Dealer Policy. Details on safeguarding can be found in the Ctrl Alt Solutions DMCC Client Money & Client Assets Safeguarding Policy.

Referral and Asset Ownership Policy

We affirm that all assets and virtual funds utilised within our operations are provided by Ctrl Alt, and we do not engage in referral arrangements or introductions of clients to third-party entities for any financial or non-financial benefit.

Additionally, Ctrl Alt does not maintain any third-party accounts, funds, or virtual assets on behalf of the organisation beyond VA balances held to facilitate on chain gas fees.

2. Virtual Assets Listing Policy

Ctrl Alt have developed the following procedures governing the listing of virtual assets. They cover all aspects of the listing process, including due diligence, risk assessment, and compliance checks.

Before listing any virtual asset, Ctrl Alt conducts thorough due diligence to ensure the VA meets the established VA Standards.

Considerations include:

- **Due Diligence and Assessment**
 - **Market Metrics:** Evaluate the asset's market capitalisation, fully diluted value, liquidity, and historical trends.
 - **Design and Use Cases:** Assess the asset's design, features, and intended or actual use cases.
 - **Regulatory Compliance:** Determine if the asset has received necessary regulatory approvals and complies with applicable laws, including AML/CFT, sanctions, securities, and intellectual property regulations.
 - **Prohibitions:** Verify that the asset is not prohibited by VARA or other relevant authorities in jurisdictions where it operates.
 - **Security:** Assess the security and immutability of the underlying distributed ledger technology (DLT) protocol.
 - **Development Roadmap:** Review the asset's future development plans as communicated by its issuer or developers.
 - **Price Manipulation Risks:** Identify potential susceptibility to price manipulation and implement relevant mitigations.
 - **Conflicts of Interest:** Evaluate any potential or actual conflicts of interest and establish appropriate mitigations.
 - **Issuer Background:** Investigate the issuer's experience in the virtual asset sector and any history of investigations or claims related to fraud or deceit.
 - **Asset Rights:** If the asset represents rights to other assets, ensure the enforceability of such rights.
 - **Asset Availability:** Confirm that sufficient assets are available to satisfy any obligations related to the virtual asset activities.
 - **Physical Market Correlation:** For assets linked to physical markets, ensure terms and conditions reflect the operation of the underlying market and avoid adverse impacts.

Once a VA is listed, Ctrl Alt will perform the following tasks to ensure the VA remains compliant.

- **Implementation and Control**

- **Ongoing Assessment:** Regularly assess each listed virtual asset to ensure continued compliance with our VA Standards.
- **Record Keeping:** Maintain all records related to these assessments for at least eight years and provide them to VARA upon request.
- **Suspension Conditions (see section 3):** Establish clear conditions under which virtual asset activities may be suspended, including scenarios where an asset no longer meets our VA Standards. Implement necessary operational procedures and controls to act promptly if such conditions are met.
- **Regulatory Notification:** Notify VARA as soon as possible upon discovering that a virtual asset no longer meets our VA Standards and follow any directives to minimize adverse impacts on clients.
- **Regulatory Authority:** Acknowledge VARA's right to require the suspension of a virtual asset activity if deemed appropriate.

3. Virtual Asset Suspension

Ctrl Alt has established clear conditions under which VA Activities may be suspended, including:

- A VA no longer meeting Ctrl Alt's VA Standards.
- A regulatory prohibition or directive requiring suspension.
- Security vulnerabilities or risks related to the VA's DLT protocol.

In the event that a suspension condition is met, Ctrl Alt will promptly implement all necessary operational procedures and controls to ensure the cessation of VA Activities. Where applicable, clients will be notified of any actions taken. Ctrl Alt will notify VARA as soon as reasonably possible after becoming aware that a VA no longer meets its VA Standards. Ctrl Alt will also follow any directives from VARA to minimise adverse impacts on clients arising from such events.

Where a VA suspension is triggered, the operational process undertaken by Ctrl Alt is as follows.

1. **Notification Process:** Promptly notify clients and stakeholders of the suspension, explaining the reasons for the action and estimated timelines for resolution.
2. **Access to Assets:** Ensure clients can still access and withdraw their assets during suspension, especially in periods of high uncertainty or volatility.
3. **Client Communication:** Maintain clear, regular communication channels with clients to update them on the status of the asset and any actions they need to take.
4. **Backup and Recovery:** Ensure critical systems and client data are backed up and can be restored rapidly if required
5. **Alternative Solutions:** Provide alternative options or support for affected clients, such as access to similar assets or temporary measures for withdrawal or trading

4. List of available Virtual Assets (to be completed)

Asset Name	Symbol	First Issued On	Market Capital	Current Circulating Supply	Is the VA subject to an independent Smart Contract Audit (if so, add date of most recent)	Largest Recent Price Reduction	Review Date